

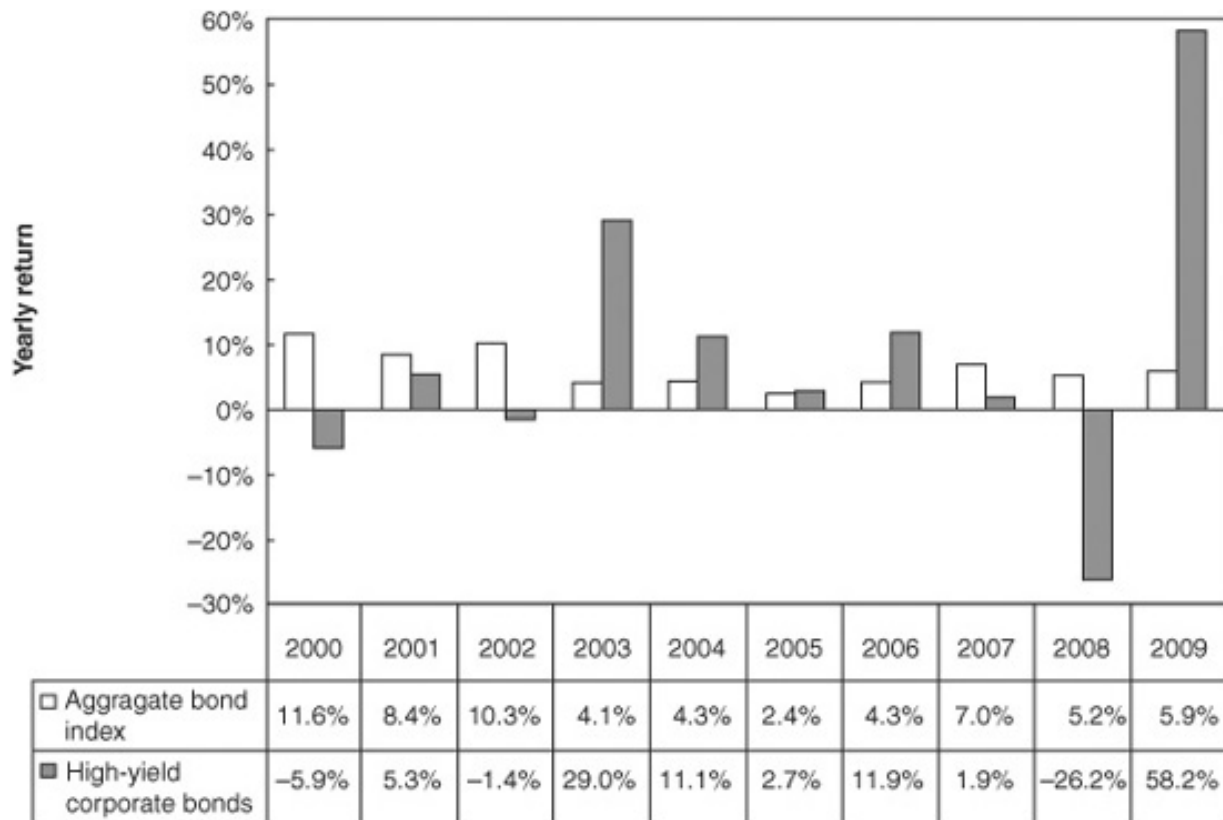
expected to earn a higher return than investment grade bonds.

High-yield bonds have a separate and distinct risk above and beyond credit risk because there is a real danger that the issuers will default on their obligations. Consequently, high-yield bonds have default risk in addition to credit risk. The added risk means that investors should get paid more over time.

[Figure 8-6](#) compares the yearly returns on the Barclays Capital U.S. High Yield Corporate Bond Index to the returns on the Barclays Capital U.S. Aggregate Bond Index. Since the aggregate index includes most U.S. investment-grade bonds, the return difference between the two indexes is a result of changes in default risk.

FIGURE 8-6

Comparing Annual Returns of High-Yield Bonds to the Aggregate Bond Index



Default risk increased from 2000 to 2002 as several large telecommunications companies defaulted on their bonds. In 2003 and 2004, defaults on high-yield bonds fell sharply, and, as a result, the risk of default